

Mark schemes

1.

Introduction	• Exchange rate • Floating exchange rate • Other exchange rate systems • Macroeconomic stability.
Developing the response to the question (application and analysis)	• Automatic adjustment under a floating exchange rate • The significance of automatic adjustment for macroeconomic stability • Interest rates determined by domestic conditions but nevertheless impacting on the exchange rate • Speculation and its impact • Global economic shocks • Economic growth and stability • The exchange rate and prices • The exchange rate and the balance of payments on current account • The exchange rate and employment • A floating exchange rate and business confidence • The possible significance of intervention by the authorities in an era of managed flexibility • Other factors which are more effective in achieving stability
Evaluation	• The likelihood of automatic adjustment occurring efficiently or at all • Whether other conditions potentially able to secure stability can counteract any destabilising effect of a floating exchange rate or will it be vice versa? • The extent of changes to an exchange rate under a floating system • The impact of economic shocks making it very unlikely that stability can be achieved whatever the exchange rate system in operation • The preparedness of a government to intervene to influence an exchange rate in order that macroeconomic stability can be achieved • In reality, how long is 'a period of macroeconomic stability' expected to be? • Are changes in an exchange rate, within reason, really relevant to achieving macroeconomic stability? • The need to recognise that a floating exchange rate may help to stabilise one aspect of the macroeconomy, eg prices, but not do a great deal for another aspect, eg economic growth. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

Introduction	• the world economy and economic diversity within it • free trade • progress towards a free-trade world – the role of GATT and latterly the WTO • the dangers of increased protectionism • how 'benefit' might be measured.
Developing the response to the question: Application / Analysis	• trade spearheading globalisation and the benefits this can bring • the principle of comparative advantage • specialisation • economies of scale • efficiency • the impetus to improving competitiveness in price and non-price ways • the pace of innovation • the benefits of greater choice • prospects for economic growth • trade in preference to aid to help development • employment prospects • the drive for greater competitiveness forcing down prices and hence helping to achieve low inflation • implications for the balance of payments • the impact on less successful economies of a free-trade world • use of diagrams • reference to the UK and / or other economies.
Evaluation	• a consideration of who might be the major beneficiaries • the possibility of structural unemployment as comparative advantage changes between countries • economic shocks in one part of the world are more likely to affect other parts • the difficulty of drawing conclusions which are too generalised as to be virtually meaningless • on-going protectionism even by countries involved in WTO talks such as Doha which might limit benefits • a consideration of 'significant' economic benefits • the possible problems of measuring economic benefits • how the 'losers' might be helped, if at all, and if there is a willingness to do so

- if free trade is so beneficial why does an underlying protectionism persist?
- benefits for some sectors of an economy, damage to others
- trade blocs (free trade for members v protectionism towards non-members)
- the need for WTO talks to make much more progress before benefits can be cited without significant qualification
- a final judgement on the perceived benefits of progress towards free trade.

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[25]

5.

For:

- defining protectionism or protectionist policies and / or deficit on the current account of the balance of payments
- classical / strategic trade theory
- explaining in broad terms the nature of protectionist policies and the distinctions which may be drawn between them
- placing protectionism into the context of progress towards free trade
- reference to the WTO.

For explaining three possible protectionist policies:

Tariffs on imports may be introduced to make imports more expensive than domestic output because they are duties or taxes imposed on the price of imports. Demand for these imports may be reduced but this will depend very much on elasticity conditions. If the demand for these imports is elastic, the import bill will fall (*ceteris paribus*) and so help the current account.

Quotas / voluntary export restraints (VERs).

Export subsidies

Exchange rate policy

Exchange controls / Limits on currency conversion.

Non-tariff barriers to inhibit trade, e.g. cumbersome health and safety regulations that create costs to exporters regarded as unreasonable.

Domestic government's favouritism towards home producers when awarding contracts which cannot necessarily be economically justified (public procurement policy).

Any other valid argument

Use of diagrams to help support an explanation, e.g. the standard tariff diagram.

References to the UK and / or other economies.

If more than three policies are considered, reward the best three.

[15]

Introduction	• criteria for measuring economic consequences • nature of potential problems • nature of potential opportunities • the EU • the issue of enlargement of the EU.
Developing the response to the question: Application	• Turkey's geographical position (line 3) • an expected population in Turkey of 100m by 2020 (line 10) • Turkey's vast economic potential (line 11) • Turkey's impressive growth for at least 5 years, 2002 – 2007 = 7% (lines 14 – 15), 2010 first quarter = 11% (lines 13 – 14) • Turkey's reputation for economic instability (line 20) • high inflation in some recent years in Turkey (lines 20-21) • an attractive centre for investment (line 24) • migration and the impact on UK PPF • consequences for UK AD as the EU expands • export-led multiplier.
Developing the response to the question: Analysis	• the diverse nature of member countries of the EU • the UK approach to the EU and to enlargement in particular • demands upon the EU budget and hence upon individual members • Turkey as part of the SEM and the likely flow of cheap imports to UK • cheap migrant labour impacting on the UK labour market and social and economic infrastructure • Turkey as an additional market for the UK • investment opportunities • investment income coming back to the UK • the benefits of its established links with Asia • UK economic growth • UK unemployment • UK balance of payments • UK inflation / deflation • reference to other economies • use of diagrams.
Evaluation	• Turkish membership may be seen as the "straw which breaks the camel's back" as EU enlargement gathers pace

- short term v long term considerations
- the ability of the UK to take up opportunities successfully
- the UK's possible inability to take up opportunities in the context of having to shoulder some of the problems which Turkey's membership may give rise to in the EU
- the possibility that the UK macroeconomic indicators do not all head in the same direction (for example, Turkey as a stimulus to economic growth but migrant labour causing an unemployment problem)
- the difficulty of giving "values" to pros and cons pre-membership and therefore being unable to take up a decisive stance with confidence
- the impact could change over time as circumstances change
- continuing enlargement, including Turkey, potentially providing ammunition to the Euro-sceptics in government and beyond causing the UK to remain by choice on the sidelines of the EU. An assessment of the significance of this issue for the UK
- a final judgement on the overall impact on the UK economy.

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[25]

Introduction	• high unemployment • types of unemployment • exchange rate • depreciation/appreciation.
Developing the response to the question: Analysis and Application	• the impact of changes in the exchange rate • the possible benefits of exchange rate depreciation to employment – cheaper exports, more expensive imports • the export-led multiplier • why exchange rate depreciation may not work • solution to the problem versus temporary relief • world trading conditions • the ability to meet higher demand for exports arising from exchange rate depreciation (elasticity of supply) • the importance of supply-side reforms • the impact of protectionism and the wisdom of it to help protect jobs • the types of unemployment which may be helped by exchange rate depreciation • reference to the UK and/or other economies • use of diagrams.
Evaluation	• by how much the exchange rate falls may be significant • the duration of the weakened exchange rate • whether exchange rate changes can ever provide a solution • the cause(s) of the depreciation may be significant, e.g. lower interest rates which may be the more important impact on unemployment than the change in the exchange rate itself • how bad the unemployment is and its causes in order to assess the relevance of a lower exchange rate • the state of overseas markets • the extent to which exporters pass on the benefits of the lower exchange rate in overseas prices • the importance of elasticity of demand for exports and imports • the importance of a sound supply-side underpinning any advantage given by the exchange rate • whether the impact of higher import prices, for example, on inflation, negates any benefit to employment through the exchange rate depreciation • a final judgement on to what extent exchange rate depreciation is really of any significance.

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[25]

8.

For

- defining unemployment
- making reference to official measures of unemployment
- explaining types of unemployment

The impact on AD as average incomes fall reducing household spending power and a consequent fall in confidence discouraging business investment. In contrast, AD will be influenced if businesses may make greater efforts to secure export markets, while government spending may increase to help the unemployed.

Changes in government spending and taxation and the economic impact of these.

Impact on government finances as spending increases but tax revenues fall.

Overall impact on economic growth.

The problem of rising inequality.

The waste of resources so that the economy operates at less than full capacity.

Any other valid point.

The effect on living standards generally as consumption of goods and services, such as food and alcohol, is curtailed. The quality of life is affected as spending limits are placed on, for example, heating and holidays. The type of housing may need to be reconsidered as a mortgage or existing rent become unaffordable.

The level of income in particular and the impact on living standards.

The reluctance to claim, but the necessity of claiming, welfare benefits – perhaps further demoralising the individual.

Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.

Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.

The dangers of long-term unemployment.

The need for geographical and/or occupational mobility (with implications for re-training).

Long-term financial implications in terms of savings and pensions.

Any other valid point.

Use of diagrams to help support explanations, e.g. AD/AS, PPF.

Reward references to the UK economy.

Where more than two problems are considered for either the individual or the economy, reward the best two problems.

Award a maximum of 10 marks if only the individual or the economy is considered.

[15]

Introduction	- the trade in goods - the balance of payments on current account – deficits and surpluses - criteria for assessing the impact of a deficit - the potential nature of the problem in the context of the UK economy.
Developing the response to the question: Application / Analysis	- the possible determinants of a successful export performance - possible determinants of imports - whether competitiveness in world markets is an underlying issue and is the real cause for concern - Whether global macroeconomic conditions provide part of the answer and whether they will be a temporary phenomenon - whether deficits arise from a loss of comparative advantage - the part played by the exchange rate at any one time and whether this is a temporary difficulty - whether non-price factors must be seen as a cause for concern - deindustrialisation as part of the explanation over the long term - the impact of deficits on other macroeconomic indicators – growth and employment - the compensatory role of invisibles - the compensatory role of capital flows - the possibility that a deficit might be a reflection of rising living standards in a country - use of diagrams - reference to the UK and/or other economies
Evaluation	- how persistent the deficit is - how large the deficit is, for example, in relation to GDP - whether it has an impact on the exchange rate and the consequences of this - the ability to borrow, if necessary, to finance the deficit - whether, in reality, it has had any lasting adverse impact on growth or jobs - whether the attempts to reduce it cause more problems, e.g. deflation of AD - whether the deficit brings higher living standards, if only in the short term - is the deficit indicative of a country 'living beyond its means'? - it may lead to calls for increased protectionism which may cause



long term problems

- the need to distinguish actions to control the deficit from actions to bring about a long term solution
- international opinion of the deficit
- whether it brings intervention by the IMF
- a final judgement.

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[25]

10.

For

- defining exports or export of goods
- value v volume
- placing exports into the context of trade in goods and services
- placing exports into the context of the balance of payments on current account.

Comparative advantage is established or strengthened where an economy can produce a good at a lower opportunity cost than another country and therefore has a greater likelihood of improved competitiveness and more efficient use of resources, so that sales should rise in foreign markets. In the UK the financial services sector has developed this advantage. Reward an illustrative numerical example of comparative advantage.

Rising incomes overseas.

Improved productivity in the exporting economy.

A lower rate of inflation compared to trading partners or perhaps deflation in contrast to competitors' inflation.

Government support for the export sector.

Exchange rate depreciation.

Changes in export prices.

Any other valid cause.

Use of diagrams to help support explanations, e.g. comparative advantage, exchange rates.

Reward references to the UK economy.

Award a maximum of 12 marks if 3 reasons are not considered.

If more than 3 reasons are considered, reward the best 3.

[15]

Issues and areas for discussion include

Introduction	• the concept of a single market • other examples of single markets • the development of the EU single market • possible criteria for assessing benefits in outline.
Developing the response to the question (analysis and application)	<i>It will be perfectly legitimate for a candidate to cite benefits and, by evaluating these, to identify costs (or vice versa), eg competition as a spur to efficiency, but in evaluation, the UK not able to match the achievements in efficiency seen in some other member states with higher unemployment being a potential cost (consequence) of this.</i> • economic growth • economies of scale • comparative advantage • specialisation • efficiency, with inefficient firms failing (static v dynamic efficiency) • productivity • competition • choice of goods and living standards • mobility of resources • harmonisation of economic policies possible • trade expansion/trade creation • standardisation of national regulations • greater ease of doing business between members • investment • the single market as a 'driver' to further enlargement of the EU in general (although some would see this as a cost) • costs for the UK associated with being geographically separate from the rest of the EU and peripheral to the core • unemployment • low wages arising from mass immigration • a steady weakening, perhaps ultimately loss, of UK economic links with the rest of the world as trade diversion becomes more prevalent • costs associated with a 'survival of the fittest' scenario • bullying by dominant members into accepting economic policies seeking to strengthen the single market which are not in UK's long-term interests • regulations not necessarily being removed but imposed at EU, rather than national, level • use of diagrams • references to the real world.

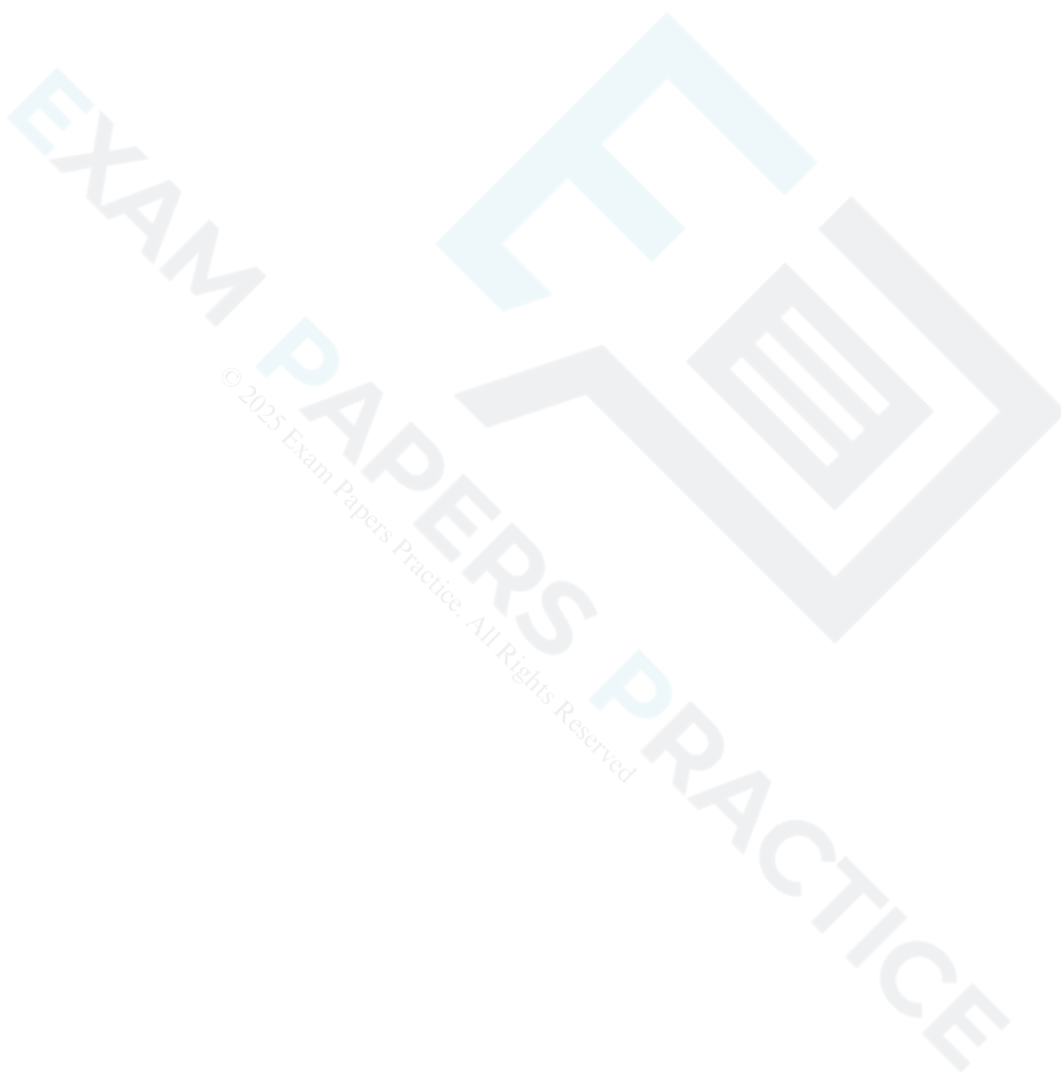
**Evaluation**

- much of any objective evaluation may rest on to what extent the single market is allowed to develop ultimately
- non-EU countries which did have strong economic ties with one or other members of a single market may find them weakening (trade diversion taking place), eg the Commonwealth and UK
- progress can be slow, eg the single market in services still needs to be developed, and yet some members are largely dependent on services
- a single market may not mean fewer regulations faced by members but just regulations raised to organisation, rather than national, level and this may not be efficient from the national perspective or, ultimately, from the single market perspective
- threat of competition for an individual economy from lower-cost members with implications for the balance of payments and jobs, perhaps irrespective of the efficiency gains in the higher-cost country
- labour mobility does not always deal with surplus/shortage problems very neatly and individual countries may suffer
- migration driven not by economic factors (e.g. prospects of employment) but the supportive mechanisms in place in the recipient countries (eg welfare and health-care), perhaps causing a heavier burden on an economy's public finances and downward pressure on wages
- higher living standards for all cannot be assumed; improvements may well be patchy
- any economic benefits such as higher growth can be diluted by developments beyond the single market, notably global recession
- the possibility of any one member being continually pressured to accept developments e.g. the single currency and/or a common fiscal policy
- the drawing of different conclusions is possible when considering the likelihood of a two-speed EU, ie euro members v non-euro members
- a final judgement on the potential benefits of the single market for a country such as the UK. Some central facts: access to 500m people; over half of UK trade is with other members of the single market; estimated that 3.5mn UK jobs are linked to export of goods and services to the remainder of the single market; another estimate suggests that member countries trade twice as much with each other as they would in the absence of the single market.

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[25]



Introduction	- the nature of the EU perhaps with reference to institutions - the UK position within the EU - fiscal policy and budgetary positions - criteria for assessing consequences.
Developing the response to the question: Application	- Lines 1–3: the remedial Keynesian approach now denied to member states - Line 4: the abandonment of fiscal rules - Lines 11–14: the crisis in Greece arising from fiscal looseness - Lines 19–23: the UK Government seeming to be a step ahead of some in the EU especially with the setting up of the OBR. - Keynesian multiplier - Budgetary positions - Current account deficits.
Developing the response to the question: Analysis	- the general economic consequences any individual economy might expect in trying to achieve a balanced budget - the consequences for the EU as a whole of achieving that position - the idea of 27 nations being required to follow the same policy - the reasons for the policy - the impact on economic growth - the impact on living standards in the short term and long term - the impact on employment/unemployment - the impact on the UK's balance of payments on current account - the impact on inflation - the possibility of deflation - the impact on types and levels of government spending - the changes in taxation and the possible impact of the changes - use of relevant diagrams - reference to other economies.
Evaluation	- whether or not the policy is introduced for economic reasons or to reflect a particular political philosophy may influence judgement on the policy - the time given for any one country to achieve a balance - the UK's original fiscal position at the time the policy is introduced - for how long a country will be expected to continue with the policy - whether or not the policy will be effectively enforced - whether the UK pursues the policy mainly through tax increases or



public spending cuts or a combination of both

- whether it will be short-term 'pain' for long-term benefit
- the differing impact on particular sections of the UK population
- whether additional private sector activity will compensate
- whether monetary policy has the same constraints imposed
- the problems which 'one-size-fits-all' policy tends to generate for individual nations
- a final judgement on the overall impact on the UK economy.

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[25]



Introduction	• economic growth • other macroeconomic performance indicators • the contrasting economies of India and the UK.
Developing the response to the question: Application	• Line 3: reference to increased exports • Lines 6–8: impressive quarterly growth which, if maintained, could create spin-offs for the UK • Line 18–19: GDP, multiplier, accelerator • Line 19: inward investment from India • Lines 24–28: benefits for the UK from India's infra-structure development • Line 31: the limitations for the UK if India remains 'fiercely protective'.
Developing the response to the question: Analysis	• how it is expected that India might develop in the future • the current importance of India to the UK and how this might change in the future • the potential impact on UK economic growth • the potential impact on the UK balance of payments both on current and capital accounts • the potential impact on employment/unemployment • UK structural change influenced by economies such as India • the impetus that stronger links with India may give to supply-side reforms • the impact on productivity and competitiveness • the impact on investment flows • use of diagrams • reference to other economies.
Evaluation	• India needs to be put into the context of other significant fastdeveloping nations which may all eventually play a part in UK macroeconomic performance • India needs to be put into the context of our currently important trading partners – the US and the EU • India may decide to remain protectionist in terms of certain types of investment and trade • how more effective, if at all, some of our competitors are in penetrating the Indian economy • the net trade flow • the net investment flow

- whether the UK produces what India's development requires, and, if not, whether the UK is able and willing to carry out the required structural change
- how supportive the UK government is of private sector efforts in penetrating the Indian economy
- whether or not India's growth and development continues in the current global economic climate
- a final judgement on the overall likely importance of India to the UK economy.

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[25]

15.

Relevant issues/logical chains of analysis include:

- defining/explaining the balance of trade, visibles/invisibles, the balance of payments on current account, (persistent) deficit/surplus
- high exchange rate which has perhaps appreciated steadily over time. It has made the price of exported goods more expensive and the price of imported goods cheaper. If the price elasticity of demand for exports and imports is elastic less export revenue can be expected. Expenditure on imports will show an increase and hence a balance of trade deficit emerges, all other things being equal
- persistent inflation which compares unfavourably to that of trading partners
- high income elasticity of demand for imports
- supply-side weaknesses such as low productivity
- limited structural changes in the economy so that it no longer produces what world markets want
- deindustrialisation making increased imports of imported goods inevitable
- quality of goods compared to other countries
- economic downturns amongst our trading partners not experienced within the UK so that export sales become more difficult while imports of goods stay buoyant or even increase especially if overseas suppliers are desperate to sell and reduce their overseas prices
- comparative advantage
- protectionism in trading partners not replicated in the UK
- diagrams to help support explanations, eg AD/AS, comparative advantage, tariffs/quotas

[15]

Introduction	• definition of supply-side reforms • the balance of trade in goods • improvement: reduced deficits or from deficit to surplus.
Developing the response to the question (analysis and application)	• aggregate supply • aggregate demand • productive capacity • cost-push/demand-pull inflation • productivity • the concept of competitiveness • supply-side reforms in outline • objectives of reforms, e.g. flexibility, mobility, quality, lower unit costs, choice, structural change • individual reforms relevant to the trade in goods • the significance of overseas demand for UK exports and UK demand for imported goods • other policies not linked to the supply side • use of diagrams • references to the real world.
Evaluation	• the nature, extent and effectiveness of UK reforms in relation to those of other countries • whether or not supply-side reforms can in any way compensate for decades of deindustrialisation so that imported goods are an inevitability • the long-term nature of reforms so that deficits may persist in the short and medium terms • the significance of changing tastes in world markets • supply-side reforms at a time of a sustained global downturn • supply-side reforms concentrating on lowering unit costs rather than quality and choice, so imports remain attractive, exports no more attractive • whether supply-side reforms will always be a story of 'too little, too late' • relative merits of supply-side policies to other policies that can be used to reduce deficits eg significance of exchange rates • a final judgement, perhaps in the context of recent UK experience. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

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Introduction	• criteria for assessing 'significant strengthening of the economic importance' • identification of one or more MENA economies • the range of economic experience in the MENA economies.
Developing the response to the question (Application)	• comparative advantage • labour productivity • production possibilities • supply of resources from the resource-rich MENA economies (line 6) • opportunities for UK financial services (lines 12-13) • the threat from MENA manufacturing (lines 13-14) • further investment opportunities for UK in the MENA economies (lines 18-20) • the potential significance of free trade agreements between MENA and other economies (lines 24-26) • potential benefits to the UK of higher living standards in MENA countries (lines 27-30).
Analysis	• economic growth • employment and unemployment • balance of payments on current account • supply-side reforms • AD/AS analysis • comparative advantage • further structural change in the UK economy • living standards • direction of investment • use of diagrams • references to the UK and/or other economies.



Evaluation	• 'concern' needs to be measured against opportunities in the MENA economies • continuing political instability in the MENA region may dilute any threats to the UK and any opportunities for the UK in the MENA economies • the inflexibility of the UK economy may mean lost opportunities • if and when importance strengthens, the MENA economies' more powerful negotiating position regarding prices of resources needed by developed countries • MENA economies in relation to other opportunities elsewhere in the global economy • opportunities/threats in the UK domestic economy compared to those presented by the MENA economies • how the UK might compare to other economies with similar aims of gaining a foothold in the MENA economies, eg, the emerging markets • the significance of relative inflation rates between MENA economies and the UK, and between the UK compared to other economies showing interest in the MENA economies • the possible greater impact on the UK and a cause for concern if the UK's major markets, the EU and US, continue to have problems • the threat the MENA economies pose to the UK in established UK markets especially in the long term • a final judgement on the economic consequences. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill..</i>
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**19.****Relevant issues/logical chains of analysis include:**

- defining the price level and/or inflation with reference to cost-push and demand-pull or the phrase 'increase in the price level' and/or economic consequences'
- a rise in the price level will erode real personal disposable income when there has been no increase in money wages to compensate. This means that consumption may have to be curtailed and/or the proportion of income saved reduced. The material well-being of the individual is therefore affected as might the quality of life if the individual feels the necessity of working longer hours to compensate
- greater danger of unemployment if competitiveness suffers or anti-inflation measures take effect
- shoe-leather' costs/'menu' costs
- the real value of debts
- the dangers of being a creditor
- uncertainty affecting decisions, notably consumption decisions
- the impact on those on fixed incomes
- the impact on behaviour of rising expectations about inflation
- reduced real value of savings
- the impact on competitiveness if the economy's prices rise faster than those in its trading partners. It therefore becomes more difficult to sell goods and services overseas unless exporters' prices are limited by accepting narrower profit margins. It also means that imports can become more price attractive and so imported goods begin to displace those produced domestically. The current account can therefore be adversely affected
- the impact of policies introduced to combat inflation
- distributional effects
- the impact on business confidence and hence investment
- a cause of unemployment
- inflation can make supply-side reforms more imperative, eg leading to higher productivity, lower unit costs and thus a compensatory factor when considering the impact of price increases
- rising inflation expectations across the economy as a cause of further inflation
- impact on the exchange rate
- short run, long run considerations
- diagrams to help support explanations, eg Phillips curve, AD/AS, MEC

Examiner note: there may be need for flexibility where a candidate argues a case for a factor that we would normally associate with, say, the individual, being relevant to the economy, eg shoe-leather costs and inefficiency in the economy.

[15]

Issues and areas for discussion include:

Introduction	• globalisation • developed and developing economies • criteria which underlie an assessment of economic consequences
Developing the response to the question (application and analysis)	• economic growth • labour flows • capital flows • employment/unemployment, eg structural unemployment • balance of payments on current and capital accounts • trade and trade policy, eg exploitation of comparative advantage • MNC policies, eg branch-plant syndrome • deindustrialisation • the way in which the two categories of countries and governments within them respond to the challenges of globalisation if at all • the response of businesses in the two categories of countries, eg productivity, productive efficiency, efficiency-enhancing techniques such as Just-in-Time (JIT) and Total Quality Management (TQM) (examiners please note that these terms are not in the specification) • exploitation • the impact on the distribution of income and/or wealth • impact on living standards of different income groups & regions • use of diagrams • references to the real world.
Evaluation	• the possible error in just comparing two groups of countries when the diversity of experience and development within them is there for all to see • the relative degree of dominance of MNCs in each category and the nature of MNC policies • relative degrees of vulnerability to major global shocks • only conditional judgments are possible because the global economy is far from the end of the process of globalisation • the degree to which national governments will stand up for the national interest, perhaps in a selfish, nationalistic way • resources available to individual national governments to lend support to national businesses • the potential greater flexibility of response of developing countries to changes arising from globalisation • quantifying different costs and benefits may be difficult, eg not being able to determine what part of a country's environmental costs can be attributed to the globalisation process • a final judgment, eg the extent of benefits will vary across economies, the degree of vulnerability perhaps much less so.



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[25]



Issues and areas for discussion include:

Introduction	- the Eurozone and the EU - UK status - economic criteria for measuring impact - the likely nature of Eurozone break-up.
Developing the response to the question (Application)	- the degree of stability that had existed before the global financial crisis especially for the weaker members (lines 3–4) - the significance of the debt crisis (lines 8–13) - the importance of eurozone stability for the UK (lines 35–39) - the inability of the UK to be immune from the eurozone problems even though it lies outside the eurozone (lines 39–41) - GDP - injections/withdrawals from the circular flow - cyclical/structural unemployment.
Analysis	- economic instability in the eurozone or more widely in the EU - the impact on the £ - the impact on the euro - the status and stability of the restored national currencies of those economies leaving the eurozone - UK economic growth - UK employment. - UK balance of payments, current and capital accounts, especially the impact on the world economy UK exports - the impact on the UK banking/financial sector - the scale of any UK commitment to 'bail-outs' - diagrams to help the analysis - reference to the real world.
Evaluation	- the significance of which countries actually leave the eurozone - how many countries decide to leave - the policies those countries decide to pursue following their exit - whether or not the exit of some countries leaves the eurozone as a much stronger economic entity with which the UK establishes even stronger economic ties - the relative value of the £ in relation to the newly restored national currencies - if there is a continuing crisis whether or not the UK can compensate by developing stronger economic ties elsewhere in the world - whether the UK and the remaining members of the eurozone pursue policies intended to support the economies exiting from the eurozone - the exit of countries in the context of the state of the world economy at that point and the EU economy in particular - the potential significance of the EU still remaining as an economic entity with, for example, the SEM still intact - reference to what actually happens when this paper is sat by candidates and what is suggested in the data - a final judgment on the issue of countries leaving the eurozone. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a</i>

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[25]

23.

Relevant issues/logical chains of analysis include:

- defining economic shock, eg what maybe an unexpected event or one that at least some had predicted which affects an economy either positively or negatively (it is anticipated that the majority of candidates will see shock in negative terms because of the reference to 'harm' and this should not be penalised. Please make sure that credit is not given where the preamble to the question is simply copied out, ie an economic shock is something which can have significant consequences)
- distinguishing a demand-side shock from a supply-side shock, perhaps with examples, such as the euro crisis, the 'credit crunch'; oil price increase or a natural disaster.
- defining economic growth, eg an increase in real GDP or an increase in productive capacity.
- distinguishing between actual and potential growth
- Supply: A significant increase in global oil prices will impact on an economy having to import most or all of its oil from the international market, causing the SRAS curve to shift to the left. Higher oil prices will lead to higher unit costs and hence higher prices and hence cost-push inflation. The impact of inflation on real incomes will affect AD (1mark). Demands from labour for higher wages will worsen the inflation problem. Inflation will cause an increase in unemployment and eventually cause economic growth to falter so that stagflation becomes a real possibility.
- Supply: A significant increase in prices of primary commodities generally and/or food prices.
- Supply: A major war/significant natural disaster/a series of devastating terrorist attacks around the world in major economies.
- Demand: The severity of the Eurozone crisis
- Demand: An unanticipated and sudden downturn in emerging economies such as India and China.
- Demand: credit crunch/crisis in major financial markets
- any other economic shock explained which potentially harms growth
- diagrams to help support explanations, eg AD/AS showing shifts of AD and/or AS, micro supply and demand diagrams, PPF

[15]

25.

The calculation: Value: In 1999, a euro was worth \$1.20, causing the American price of the good exported from the Eurozone and priced at €20 to be $(20 \times \$1.20)$ \$24.00.

For the correct answer (working need not be shown) with \$ sign shown, ie \$24	2 marks
For the correct answer without the \$ sign shown, ie 24.	1 mark

[2]



26.

Relevant issues/logical chains of analysis include:

- defining exchange rate/appreciation/depreciation/revaluation/devaluation
- the distinction between various exchange rate systems
- trade flows will affect an exchange rate. If exports increase so too will the demand for the currency of the exporting country by overseas buyers. This will cause the exchange rate to appreciate. Equally, if imports into a country increase, so too will the supply of that country's currency, causing the exchange rate to depreciate
- Investment flows, competitiveness government involvement in FOREX, interest rates and hot-money flows, expectations, confidence
- External factors such as strong US or Eurozone recovery or an economic shock such as an international banking crisis
- diagrams to help support explanations, eg supply of, and demand for, a currency or for exports and/or imports

[15]



Introduction	• Reference to the history of the EU • The history of UK membership of the EU • Changing views about membership over time • The nature of the EU, for example, as a customs union/single market • The possible criteria for making a decision.
Developing the response to the question (Application)	• The estimated total cost to UK of membership Extract E(lines 4 & 5) • UK Budget contributions Extract E (line 6) • The Single European Market Extract E (lines 14 & 15) • Foreign direct investment Extract E lines (15 & 16) • The EEA Extract F (lines 3–5) • The example of Norway as a non-member of the EU Extract F • Trade theory • AD • Economic growth
Analysis	• The notion of economic benefit • Economic growth • Employment • Balance of Payments • Exchange rate • Prices • CAP • SEM • CET • The euro • The EEA.
Evaluation	• The uncertainty surrounding the future outside the EU • Whether a comparison with just one other economy (Norway) is helpful • To what extent, if at all, would trade be affected? • Could the UK re-establish former economic links, for example, with the Commonwealth or is this a myth from non-existent halcyon days? • The difficulty of assessing in a truly objective and precise way the various costs and benefits • The possible UK support for membership to foster and maintain economic ties with the EU in contrast to strong opposition to political ties and loss of national sovereignty • The possible changing views about membership as enlargement of the EU continues • Support for membership increasingly tempered by a fear that the UK will become embroiled in the euro crisis financially when the UK is outside the Eurozone • ‘Sitting on the fence’ has limitations; should the UK fully embrace all aspects of the EU and become ‘full Europeans’ including adoption of the euro? • The possibility of the UK joining the EEA or even NAFTA instead. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for:

- Reference to the UK/other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

30.

Relevant issues/logical chains of analysis include:

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

[9]